



Q1 2025 AMAA Transcript
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Steve Huffman: Hi, everybody. I'm Steve Huffman, co-founder and CEO of Reddit, joined by Jen Wong, our COO, and Drew Vollero, our CFO, and we just released our Q1 earnings, and as is tradition, we're following up with you to answer your questions that you asked on Reddit. And look, long story short, we're at the—we had a strong start to our second year as a public company, and we are very grateful to be with you here today. Okay, we're going to go through the questions.

0:44

Steve Huffman: Number one for me – how is user engagement with Reddit Answers, how do you see it evolving over time? When can non-English speaking countries expect to get access?

Okay, look. Reddit Answers is off to a great start. It was actually a –almost a tech demo that we built. We built it fast and put it in the app. But it does have 1 million weekly users, and it's still early days. But we love how people are using it. I think there's a new class of questions that people are figuring out that Reddit has the answers to. It doesn't replace the human conversations on Reddit. But I think it helps people find them more efficiently, and it also helps users even find subreddits on Reddit. It's only available in English, though it's available in more and more countries around the world, and we are working on translating it into other languages.

And the future of Reddit Answers this year is to better integrate it into Reddit. So instead of being a separate experience, it'll be integrated as part of, the kind of, core Reddit search experience, and probably will expose it to new users and other users as well. But we love the direction that it's heading in so far.

01:59

Steve Huffman: Okay, next one for you.

Jen Wong: Okay, question, which countries do you expect to have the most growth in 2026?

Well, we're really excited about making Reddit accessible and relevant to more people around the world. It's part of our mission. And we have a handful of markets that we've been focused on applying machine translation to and also recruiting Mods, growing local, thriving communities. Countries like France, Germany, India, and Brazil. And these focused markets are growing nearly two times as fast as the total

international or rest of world DAUq. So that's really exciting to see. We'll be expanding that treatment to more countries. As we grow these markets we'll have a larger opportunity for advertisers to come in and find their customers. Now, when it comes to advertising growth, English markets like the UK, Canada, and Australia, which are more mature markets for us—where we have a significant audience—they are drivers of our advertising business outside of the US. Thank you.

03:13

Steve Huffman: Okay, next one for Drew.

Drew Vollero: Yes, thanks for the question. What constitutes “other revenue” and why is it outpacing ad revenue growth?

We break our revenue down into two buckets. We have ad revenue and other revenue. Other revenue consists of revenue from content licensing, Reddit Premium subscriptions, and other products like Paid Awards. It's much smaller than our core advertising revenue. It's about 8% of revenue for the quarter. So we'd expect it to grow at a different rate. In Q1, ad revenue grew 61%. Other revenue grew 66%. So, you're right, other revenue was growing slightly faster. The difference in the growth rate in other revenue is really that we have two major licensees, Google and OpenAI, and we signed the OpenAI deal in the second quarter of 2024. So we get to record the revenue from that deal in Q1 of 2025, without any revenue from the prior year. So it comes in really as incremental revenue, with no comp from the prior year. So that really helps the growth rate in the quarter and really was the primary difference between the two. Steve, let me turn it back to you.

04:19

Steve Huffman: Okay, next couple for me. Next one—at Modworld, Steve mentioned a recreation of old Reddit built on the latest web platform. Will this ever be available to users or replace old Reddit entirely?

Great question. My answer is, maybe, and I—maybe. Maybe and maybe. For what it's worth, old Reddit is really old. It's basically 20 years old this summer. But we're exploring ways to provide the old Reddit experience on the newest Reddit technology. We did a demo of this internally that I thought was really neat. I'd love to make this available to users. And look, I think there are technical reasons we'd like to get rid of old Reddit, just because it is old technology. But we said we'd keep it around as long as there are users. But this could be a path to get the users who like that experience onto the newest technology. So, I hope so. We'll see. Okay, next question.

05:26

Steve Huffman: Why did you take away free awards? Any plans on putting them back on with so many bots lately, I feel that was an easy way for common folk to acknowledge good content.

Okay, so I think it's actually two questions. Awards has been under a lot of evolution, as it relates to free awards, we could bring them back, I think. As you suggest, they being fun is as good an argument as any. We have had that discussion. So I will re-raise that.

And as it relates to bots. Look, there are helpful bots on Reddit, and we're working on ways of making that more intentional and transparent. But it's also our job to get rid of bots that are masquerading, you know, as humans. That is very important work. And because our goal is to maintain the authenticity of our communities. And that's really critical to keeping Reddit real.

Thanks for the questions. Okay, couple for Jen.

06:32

Jen Wong: Okay, you recently added Hindi to your machine translations, which could add 1.6 billion people to your corpus. How will growing revenue in India and other developed markets differ from growing revenue in the US? Thanks for the question.

So becoming more globally relevant for us is obviously a big priority, and every non-English dominant country is basically an opportunity for another Reddit. So this is really significant. And it's part of our mission, and it also supports our business. Growing revenue in markets outside the US is a balance of local and global. So for a large advertiser, for example, they may want to reach customers in many countries as a partner for us, so we could become a scale partner to them, which is important. But they might deploy locally, so you have to have teams that help provide that service. You also might have an advertiser or a company in a local market that wants to access audiences cross-border in the US, for example. So we want to be able to provide that service. When we enter a market, we may enter in many different ways. We may, for example, instead of having multiple channels, have one channel. We may work with a local partner to enter as a first step. So there's a lot of different configurations that we might consider that are adapted to kind of the size and the structure of the market.

8:05

Jen Wong: Okay, next question. Does Reddit have any new ad formats coming up? Is there a plan to allow in-app shopping to further grow ARPU?

Okay, I'm really excited that this year we're going to be doing work on ad formats. I already mentioned some of that work in the earnings call around our high-impact takeover formats, and we're definitely looking for ways to continue to reflect our, you know, the intelligence and the experience from communities in our ad format. So more to come on that front. Regarding shopping ads, I think shopping ads are really a natural fit with Reddit. There's just so much commercial intent on Reddit. People are just going through their purchase journeys and actually trying to get help in comparing features on products and services. And so our aim when developing a shopping experience is to make sure that it adds value to the user experience while they're in their shopping mode, as well as, you know, delivering great outcomes for those advertisers. We are onboarding catalogs right now. Just millions of products and catalogs from

different retailers as part of our dynamic product ads, or DPAs, which we mentioned on the call. And that's just a step toward our future shopping experience where now you can see, you know, actual products, you know, selected using ML on a relevant basis, based on somebody's, you know, shopping intent. So more to come on that front. But I think this is a very exciting area for us that we're able to do work on this year.

09:47

Steve Huffman: Okay, thanks. A couple more. Reddit seems to have had a few temporary server outages. Has the issue been resolved and can we expect a more stable server going forward?

Yes and yes. So we did have a few smaller ones last quarter but actually, the quarter is one of our best uptime quarters ever, and the specific causes of those issues have been resolved. Ironically, what we're going through is a transition to a more stable and worldwide infrastructure, which will further reduce hiccups like these. We've come a long, long way from the days of me sleeping with a laptop to keep Reddit mostly online. So, point taken, it will continue to get better.

10:36

Steve Huffman: Okay, last question. Subreddits seem like a natural place for marketplaces - at some stage in the future, do you envision users remaining on the platform for purchases within subreddits?

Yes, look, we see that, too. But it's not something we're actively working on. But, that said, it was one of the, kind of, ideas at the beginning of Developer Platform. Because that's the sort of functionality communities might be able to develop for themselves.

So, we're working on other things at the moment. But I think it just goes to show the variety of ways that people use Reddit. This one, not predicted, but interesting nevertheless.

11:20

Steve Huffman: Okay, that's what we got. Thank you so much for being on Reddit, for being on this journey with us, and for the questions. Until next time. Thanks, all. Bye.